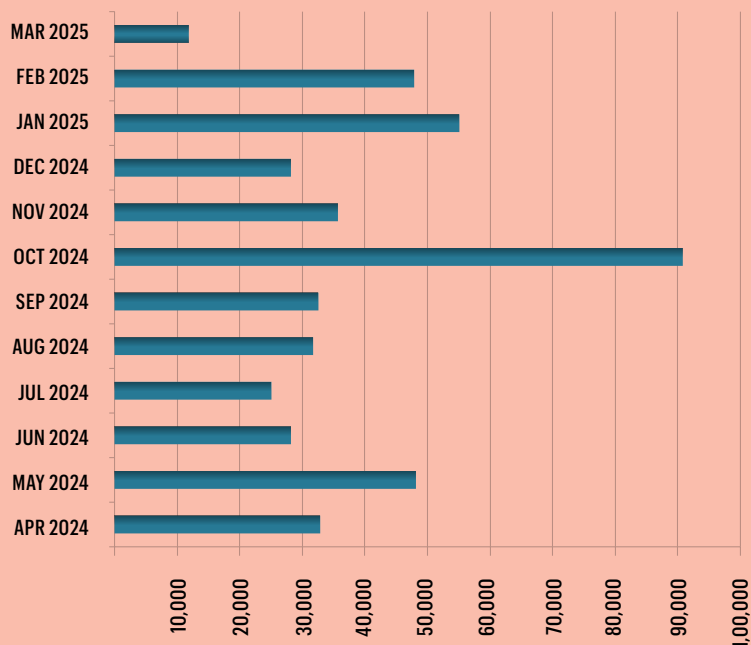


CUSHIONING THE DOWNSIDE

► Mutual funds bought shares worth ₹4.69 lakh crore in FY25

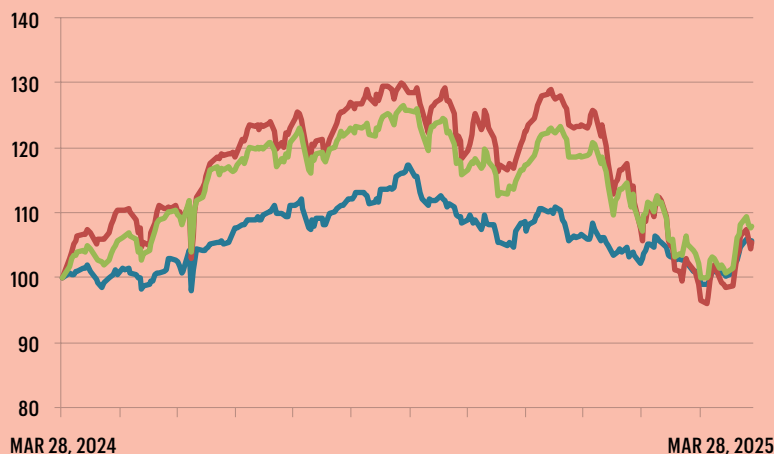


• MF NET INVESTMENT IN EQUITIES (₹CRORE)

SOURCE SEBI

MARKET PERFORMANCE

► Despite the sharp correction in the second half of FY25, all major indices on D-Street ended the year in positive territory



— NIFTY 50 — NIFTY MIDCAP 150 — NIFTY SMALLCAP 250

BASED TO 100 SOURCE ACE EQUITY

challenges posed by global trade disruptions and capitalise on the growing domestic market. The income tax cut in the FY26 Budget should support consumption. Shreyash Devalkar, Head-Equity, Axis Mutual Fund, says export-oriented companies may face challenges due to trade disruptions, and it will be difficult to predict their growth and stability.

Among sectoral and thematic indices, the Nifty India Defence index surged 37% in FY25. It was followed by Nifty Pharma (11%) and Nifty Metal (11%). The Nifty Bank rose 9.4%. On the other hand, Nifty Energy, Nifty Oil & Gas and Nifty Realty declined 14%, 8% and 5%, respectively.

So, which sectors will lead the next bull run? “The next sector leaders are likely to be different from those that have led the rally in the last three-five years. Private sector banks, metals and cement may lead over the next three-five years,” says Harish Krishnan, Co-CIO and Head, Equity, Aditya Birla Sun Life AMC.

Devalkar of Axis says it is crucial to concentrate on companies with strong fundamentals—solid balance sheets, consistent earnings growth and competitive advantages. Quality stocks are generally more resilient during market downturns.

The recent liquidity boost and rate cuts by the RBI will drive credit growth in both industrial and retail segments, says Achin Goel, PMS Fund Manager at Bonanza Group. He says banking sector gross NPAs are stable. Oil marketing and gas stocks are also attractive as oversupply of crude oil from the US is likely to keep prices under control, he says. “The